

I personally have no difficulty with those who use the court to avoid an unreasonable judgment. But because I want to protect myself from the costs incurred by another person's injury at my expense, I also choose to carry a sizable liability insurance policy that covers any accident in which I may be at fault. Beyond that amount I would feel the damages are punitive, rather than compensatory.

Can I avoid the IRS through a bankruptcy?

Many people are under the mistaken impression that going bankrupt avoids an obligation to the IRS. Let me assure you that this is not true. Under Chapter 13, you still must repay tax debt. Even under Chapter 7, many people still have to repay the IRS. In some cases, tax debt can be eliminated under Chapter 7, but only under limited circumstances. First of all, you must not be guilty of tax evasion. That may be easy if you're an honest person, but in addition, your debt to the IRS must involve income tax. Also, you must have filed a return for the taxes, which must be at least three years overdue. And, your tax debt needs to be declared at least 240 days before you file for bankruptcy.

I have worked with many people who have gone through bankruptcy. Some chose it voluntarily, and others had it forced on them by creditor actions. In both cases they quickly realized that bankruptcy is a serious matter, and at best both sides lose. The creditors lose much of the money they are owed, and the debtors lose some of the respect they previously had. There is a stigma associated with any bankruptcy, and until the last of the creditors are repaid, it will probably remain. You can turn an otherwise negative situation into a positive one by making a commitment to repay what is legitimately owed. You can only do what you can do. Once you have made the commitment, it is then up to God to provide the means.

Perhaps the scriptural principle that best describes the use of bankruptcy to avoid paying back legitimate debts is found in the parable of the unrighteous steward in Luke 16:1–12. In that parable